

The Board of Directors of Diamond Trust Bank Kenya Limited is pleased to announce the audited Group and Bank results for the year ended 31 December 2020

STATEMENT OF FINANCIAL POSITION	GROUP		BANK	
	Dec. 2020 Shs 000 Audited	Dec. 2019 Shs 000 Audited	Dec. 2020 Shs 000 Audited	Dec. 2019 Shs 000 Audited
ASSETS				
Cash (both local and foreign)	8,059,650	8,193,800	4,880,836	5,233,608
Balances due from Central Banks	17,923,774	19,025,103	9,951,029	13,004,770
Kenya Government and other securities held for dealing purposes	-	-	-	-
Investment Securities:				
(a) Held to Maturity:				
a. Kenya Government securities	111,118,568	97,564,656	111,118,568	97,564,656
b. Other securities	27,262,745	21,736,467	-	-
(b) At Fair Value:				
a. Kenya Government securities	-	615,493	-	615,493
b. Other securities	9,996,628	12,545,373	1,252,570	1,513,048
Deposits and balances due from local banking institutions	187,644	65,258	187,644	65,258
Deposits and balances due from banking institutions abroad	19,758,256	8,255,273	10,480,256	1,492,042
Income tax recoverable	1,237,081	851,554	557,959	140,488
Loans and advances to customers (net)	208,592,888	199,089,371	154,998,068	149,501,314
Balances due from group companies	-	-	-	-
Investments in associate	108,902	66,632	1	1
Investment in subsidiary companies	-	-	5,752,701	5,752,701
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	6,436,930	6,030,321	4,288,886	4,602,783
Right of use asset	3,640,987	3,430,300	1,867,738	1,919,046
Prepaid lease rentals	-	-	-	-
Intangible assets	721,250	1,421,566	397,282	1,114,729
Goodwill	173,372	173,372	-	-
Deferred tax asset	7,168,949	4,726,025	4,979,763	3,297,177
Retirement benefit asset	-	-	-	-
Other assets	2,666,410	2,439,622	1,475,884	1,433,481
Total Assets	425,054,034	386,230,186	312,189,185	287,250,595
LIABILITIES				
Balances due to Central Bank of Kenya	-	-	-	-
Customer deposits	298,166,604	280,186,953	207,984,496	199,489,226
Deposits and balances due to local banking institutions	18,753,261	17,151,756	18,753,261	17,151,756
Deposits and balances due to banking institutions abroad	11,215,740	5,302,103	8,310,317	4,397,392
Other money market deposits	-	-	-	-
Borrowed funds	19,798,455	11,356,847	18,521,027	9,741,233
Lease liability	4,562,255	4,237,765	2,593,221	2,576,389
Balances due to group companies	-	-	-	-
Tax payable	-	-	-	-
Dividends payable	-	-	-	-
Deferred income tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	4,243,587	3,479,417	1,994,949	1,893,221
Total Liabilities	356,739,902	321,714,841	258,157,271	235,249,217
SHAREHOLDERS' EQUITY				
Paid up capital	1,118,409	1,118,409	1,118,409	1,118,409
Share premium	9,006,569	9,006,569	9,006,569	9,006,569
Revaluation and other reserves	53,331	(575,082)	675,585	964,951
Retained earnings	51,002,806	47,483,370	43,231,351	40,156,523
Statutory loan loss reserve	789,473	1,062,649	-	-
Proposed dividends	-	754,926	-	754,926
Capital grants	-	-	-	-
Total Shareholders' Equity	61,970,588	58,850,841	54,031,914	52,001,378
Non controlling interests	6,343,544	5,664,504	-	-
Total Equity	68,314,132	64,515,345	54,031,914	52,001,378
Total Liabilities and Shareholders' Equity	425,054,034	386,230,186	312,189,185	287,250,595
OTHER DISCLOSURES				
(1) NON -PERFORMING LOANS AND ADVANCES				
(a) Gross non-performing loans and advances	22,769,777	15,914,586	19,747,394	12,891,650
(b) Interest in suspense	515,900	2,309,865	464,717	2,139,442
(c) Total Non-Performing Loans and Advances (a-b)	22,253,877	13,604,721	19,282,677	10,752,208
(d) Loan loss provisions	9,640,696	4,517,413	8,348,258	3,665,927
(e) Net Non-Performing Loans (c-d)	12,613,181	9,087,308	10,934,419	7,086,281
(f) Discounted Value of Securities	12,613,181	9,087,308	10,934,419	7,086,281
(g) Net NPLs Exposure (e-f)	-	-	-	-
(2) INSIDER LOANS AND ADVANCES				
(a) Directors, shareholders and associates	3,459,465	2,633,103	2,294,793	2,289,837
(b) Employees	1,814,918	1,665,508	1,459,955	1,378,539
(c) Total Insider Loans and Advances	5,274,383	4,298,611	3,754,748	3,668,376
(3) OFF-BALANCE SHEET ITEMS				
(a) Letters of credit, guarantees, acceptances	42,171,868	53,498,727	35,628,315	46,498,651
(b) Forwards, swaps, and options	20,160,027	16,663,940	16,883,133	12,930,582
(c) Other contingent liabilities	-	-	-	-
(d) Total Contingent Liabilities	62,331,895	70,162,667	52,511,448	59,429,233
(4) CAPITAL STRENGTH				
(a) Core Capital			47,560,614	44,555,022
(b) Minimum Statutory Capital			1,000,000	1,000,000
(c) Excess/(Deficiency)			46,560,614	43,555,022
(d) Supplementary capital			3,982,246	4,352,281
(e) Total capital (a+d)			51,542,860	48,907,303
(f) Total risk weighted assets			229,366,334	233,853,549
(g) Core capital/total deposit liabilities			22.8%	22.3%
(h) Minimum Statutory Ratio			8.0%	8.0%
(i) Excess/(Deficiency) (g-h)			14.8%	14.3%
(j) Core capital/total risk weighted assets			20.7%	19.1%
(k) Minimum Statutory Ratio			10.5%	10.5%
(l) Excess/(Deficiency) (j-k)			10.2%	8.6%
(m) Total capital/total risk weighted assets			22.5%	20.9%
(n) Minimum Statutory Ratio			14.5%	14.5%
(o) Excess/(Deficiency) (m-n)			8.0%	6.4%
(p) Adjusted Core capital/total deposit liabilities*			23.4%	23.3%
(q) Adjusted Core capital/total risk weighted assets*			21.0%	19.9%
(r) Adjusted Total capital/total risk weighted assets*			22.7%	21.8%
(5) LIQUIDITY				
(a) Liquidity Ratio			56.0%	54.8%
(b) Minimum Statutory Ratio			20.0%	20.0%
(c) Excess/(Deficiency) (a-b)			36.0%	34.8%

* The adjusted Capital Ratios include the expected credit loss provisions added back to Capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS9

STATEMENT OF COMPREHENSIVE INCOME	GROUP		BANK	
	Dec. 2020 Shs 000 Audited	Dec. 2019 Shs 000 Audited	Dec. 2020 Shs 000 Audited	Dec. 2019 Shs 000 Audited
INTEREST INCOME				
Loans and advances	18,549,705	19,953,866	13,171,997	14,795,260
Government securities	12,370,928	12,498,862	9,153,948	9,500,476
Deposits and placements with banking institutions	169,169	398,385	42,888	159,528
Other interest income	-	-	-	-
Total interest income	31,089,802	32,851,113	22,368,833	24,455,264
INTEREST EXPENSES				
Customer deposits	11,218,577	12,136,834	8,917,281	10,073,158
Deposits and placements from banking institutions	563,354	635,891	447,530	601,748
Other interest expenses	1,228,378	1,367,417	999,290	1,031,773
Total interest expenses	13,010,309	14,140,142	10,364,101	11,706,679
NET INTEREST INCOME	18,079,493	18,710,971	12,004,732	12,748,585
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	1,434,115	1,339,301	1,075,808	977,785
Other fees and commissions income	1,836,837	2,208,611	629,020	901,871
Foreign exchange trading income	2,325,543	1,830,399	1,681,597	1,139,278
Dividend income	-	-	569,500	65,806
Other income	525,922	391,986	190,427	131,096
Total Non-Interest Income	6,122,427	5,770,297	4,146,352	3,215,836
TOTAL OPERATING INCOME	24,201,910	24,481,268	16,151,084	15,964,421
OPERATING EXPENSES				
Loan loss provision	7,324,436	1,323,010	5,398,441	(12,346)
Staff costs	4,721,038	4,669,986	2,700,303	2,719,604
Directors' emoluments	188,585	178,603	130,722	127,033
Rentals charges	336,840	581,654	86,717	150,241
Depreciation charge on property and equipment	1,500,389	1,498,754	737,478	730,103
Amortisation charges	980,133	581,496	848,087	474,520
Other operating expenses	4,617,137	4,391,381	2,306,909	2,495,961
Total operating expenses	19,668,558	13,224,884	12,208,657	6,685,116
Profit before tax and exceptional items	4,533,352	11,256,384	3,942,427	9,279,305
Exceptional items	-	-	-	-
Profit after exceptional items	4,533,352	11,256,384	3,942,427	9,279,305
Share of associate profit after tax	38,687	6,530	-	-
Gain/ (loss) on modified assets	96,232	-	(118,064)	-
PROFIT BEFORE TAX	4,668,271	11,262,914	3,824,363	9,279,305
Current tax	(3,727,156)	(5,140,380)	(2,461,009)	(4,332,111)
Deferred tax credit	2,587,511	1,146,058	1,682,586	767,797
Profit after tax and exceptional items	3,528,626	7,268,592	3,045,940	5,714,991
Non controlling interests	281,092	482,989	-	-
Profit for the year after tax and non controlling interests	3,247,534	6,785,603	3,045,940	5,714,991
OTHER COMPREHENSIVE INCOME				
Gain/(loss) from translating the financial statements of foreign operations	1,293,597	(96,995)	-	-
Net gain/(loss) in fair value of Government securities	43,767	(4,368)	-	-
Net loss from changes in fair value of Equity investments	(260,478)	(334,569)	(260,478)	(334,569)
Income tax relating to these items	(13,663)	1,313	-	-
Other comprehensive income for the year net of tax	1,063,223	(434,619)	(260,478)	(334,569)
Total comprehensive income for the year	4,591,849	6,833,973	2,785,462	5,380,422
Earnings per Share (Shs per share) - basic and diluted	11.61	24.27	10.89	20.44
Dividend per Share (Shs per share)	-	2.70	-	2.70

Dividend

The Board of Directors do not recommend payment of a dividend in respect of the year ended 31 December 2020.

Annual General Meeting

A virtual general meeting will be held on 24th June 2021.

Message from the Directors

These financial statements are extracts from the books of the institution as audited by KPMG, Kenya and received an unqualified opinion.

The complete set of the 2020 Integrated Report and Financial Statements will be available at our registered office at DTB Centre Mombasa Road and online at www.dtbafrika.com for inspection after approval at the Annual General Meeting.

They were approved by the Board of Directors on Friday, 25th March 2021 and signed on its behalf by

Linus Gitahi

Nasim Devji

Ismail Mawji

Chairman

Managing Director

Director

DTB'S ASSET BASE CROSSES SHS 400BN, STRINGENT PROVISIONS RESULT IN PROFIT DROP

Nairobi, 25 March 2021: Regional banking group Diamond Trust Bank (DTB) total assets crossed the Shs 400 billion threshold for the first time, rising by 10% to Shs 425 billion at the end of 2020, with customer deposits growing from Shs 280 billion to Shs 298 billion over the year.

Commenting on the results, Nasim Devji, DTB's Managing Director and Group Chief Executive Officer said: "The year 2020 will go down in history as one of the most difficult ones faced by businesses around the world. Thankfully, DTB's underlying resilience, solid brand equity, established market presence in East Africa and loyal customer base built over the last 75 years, have enabled us to absorb the shocks brought about by the pandemic."

As a reflection of the Group's inherent resilience, DTB maintained a healthy liquidity ratio of 56 percent at the end of 2020 and remains one of the most well-capitalised banks in Kenya, with its core capital sitting at Shs 48 billion.

DTB invested more than Shs 100 million in several Covid-19 relief efforts region wide. This included a Shs 50 million donation to the Kenya Covid-19 Emergency Response Fund and initiatives to support more than 30,000 economically vulnerable households across East Africa.

The Bank also granted repayment holidays to its borrowers, given the sudden and very drastic cash flow constraints many of them were faced with. In total, DTB group restructured repayment terms for existing loan facilities amounting to Shs 101 billion, representing over 45% of the group's loan portfolio.

In the face of a very difficult business environment, the Group redoubled its focus on containing operating costs growth during the year, anchoring its position as a Tier 1 bank with one of the lowest cost income ratios in the industry. Net loans advanced to customers grew conservatively from Shs 199 billion in 2019 to Shs 209 billion a year later.

"The pandemic has had a detrimental effect on lives and livelihoods across the Globe and, as with other players in the industry, DTB group has had to navigate through the resulting very challenging business environment, fraught with significantly elevated credit risk, by taking a prudent view and significantly ramping up provisions", Ms. Devji added.

Consequently, the group's after-tax profits dipped by 51% to Shs 3.5 billion last year. The bank attributed the performance to the prudent approach it adopted by making

stringent provisions of Shs 7.3billion against the loan book in 2020, a reflection of the elevated credit risk environment prevalent since the outbreak of the COVID-19 pandemic in March last year.

The group's gross non-performing loans rose to Shs 22.8 billion during the period, compared to Shs 15.9 billion in 2019. The additional provisions for bad loans made during the year increased the group's specific provision coverage ratio to 43%, compared to 33% a year earlier.

Net interest income dropped marginally by 3% to Shs 18 billion in 2020. DTB's non-interest income grew by 6% to Shs 6.1billion in 2020. Whilst income from foreign exchange trading improved, loan commissions and transaction- based fee income suffered from a slowdown in business activity, new lending and waiver of charges on mobile transactions.

As a prudent measure, DTB's Board has resolved not to propose any dividends for the year 2020.

Expressing optimism about the future, Ms. Devji said: "As East Africa continues on its march to a digital economy, DTB will leverage on its many strengths and strive to be at the forefront of offering appropriately tailored solutions which not only meet changing consumer expectations, but also provide enriched customer experiences, truly embedding ourselves in the lifestyles of our customers."

GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2020

	Share capital Shs'000	Share premium Shs'000	Statutory loan loss reserve Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At 1 January 2020	1,118,409	9,006,569	1,062,649	(575,081)	47,483,370	754,926	58,850,842	5,664,503	64,515,345
Profit for the year	-	-	-	-	3,247,534	-	3,247,534	281,092	3,528,626
Other comprehensive income	-	-	-	627,138	-	-	627,138	436,085	1,063,223
Transfer of excess depreciation	-	-	-	(37,678)	37,678	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	-	3,701	(3,701)	-	-	-	-
Statutory loan loss reserve	-	-	(273,176)	-	273,176	-	-	-	-
Legal and public investment reserve	-	-	-	35,251	(35,251)	-	-	-	-
Total comprehensive income	-	-	(273,176)	628,412	3,519,436	-	3,874,672	717,177	4,591,849
Transactions with owners in their capacity as owners:									
Dividends:									
- Final for 2019 paid	-	-	-	-	-	(754,926)	(754,926)	(38,136)	(793,062)
- Proposed for 2020	-	-	-	-	-	-	-	-	-
Total transactions with owners, recognised directly in equity	-	-	-	-	-	(754,926)	(754,926)	(38,136)	(793,062)
At end of year	1,118,409	9,006,569	789,473	53,331	51,002,806	-	61,970,588	6,343,544	68,314,132

GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2019

	Share capital	Share premium	Statutory loan loss reserve	Other reserves	Retained earnings	Proposed dividend	Attributable to equity holders of the Bank	Non controlling interests	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2019	1,118,409	9,006,569	890,768	(156,295)	41,621,919	726,966	53,208,336	5,238,296	58,446,632
Profit for the year	-	-	-	-	6,785,603	-	6,785,603	482,989	7,268,592
Other comprehensive income	-	-	-	(416,131)	-	-	(416,131)	(18,488)	(434,619)
Transfer of excess depreciation	-	-	-	(33,019)	33,019	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	-	2,303	(2,303)	-	-	-	-
Statutory loan loss reserve	-	-	171,881	-	(171,881)	-	-	-	-
Legal and public investment reserve	-	-	-	28,061	(28,061)	-	-	-	-
Total comprehensive income	-	-	171,881	(418,786)	6,616,377	-	6,369,472	464,501	6,833,973
Transactions with owners in their capacity as owners:									
Dividends:									
- Final for 2018 paid	-	-	-	-	-	(726,966)	(726,966)	(38,294)	(765,260)
- Proposed for 2019	-	-	-	-	(754,926)	754,926	-	-	-
Total transactions with owners, recognised directly in equity	-	-	-	-	(754,926)	27,960	(726,966)	(38,294)	(765,260)
At end of year	1,118,409	9,006,569	1,062,649	(575,081)	47,483,370	754,926	58,850,842	5,664,503	64,515,345

BANK STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2020

At 1 January 2020

Profit for the year and other comprehensive income

Net loss from changes in fair value of equity investments

Transfer of excess depreciation

Deferred tax on transfer of excess depreciation

Total comprehensive income

Transactions with owners in their capacity as owners:

Dividends:

- Final for 2019 paid

- Proposed for 2020

Total transactions with owners, recognised directly in equity

At end of year

Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
1,118,409	9,006,569	964,951	40,156,523	754,926	52,001,378
-	-	-	3,045,940	-	3,045,940
-	-	(260,478)	-	-	(260,478)
-	-	(30,408)	30,408	-	-
-	-	1,520	(1,520)	-	-
-	-	(289,366)	3,074,828	-	2,785,462
-	-	-	-	(754,926)	(754,926)
-	-	-	-	(754,926)	(754,926)
1,118,409	9,006,569	675,585	43,231,351	-	54,031,914

BANK STATEMENT OF CHANGES IN **EQUITY** FOR THE YEAR ENDED 31 DECEMBER 2019

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
At 1 January 2019	1,118,409	9,006,569	1,328,408	35,167,570	726,966	47,347,922
Profit for the year	-	-	-	5,714,991	-	5,714,991
Other comprehensive income	-	-	(334,569)	-	-	(334,569)
Transfer of excess depreciation	-	-	(30,408)	30,408	-	-
Deferred tax on transfer of excess depreciation	-	-	1,520	(1,520)	-	-
Total comprehensive income	-	-	(363,457)	5,743,879	-	5,380,422
Transactions with owners in their capacity as owners:						
Dividends:						
- Final for 2018 paid	-	-	-	-	(726,966)	(726,966)
- Proposed for 2019	-	-	-	(754,926)	754,926	-
Total transactions with owners, recognised directly in equity	-	-	-	(754,926)	27,960	(726,966)
At end of year	1,118,409	9,006,569	964,951	40,156,523	754,926	52,001,378

GROUP AND BANK STATEMENTS OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2020

	Group		Bank	
	2020	2019	2020	2019
	Shs'000	Shs'000	Shs'000	Shs'000
Cash flows generated from/ (used in) operating activities				
Interest receipts	31,913,946	31,954,019	23,013,346	23,504,634
Interest payments	(12,095,626)	(12,713,528)	(9,625,101)	(10,594,906)
Net fee and commission receipts	3,174,342	3,716,696	1,586,208	1,723,010
Other income received	2,902,374	1,756,810	1,899,958	1,395,893
Recoveries from loans previously written off	287,618	298,416	105,822	29,911
Payments to employees and suppliers	(9,593,223)	(9,512,514)	(5,270,545)	(5,501,385)
Income tax paid	(4,112,683)	(4,521,364)	(2,878,480)	(3,549,727)
Cash flows from operating activities before changes in operating assets and liabilities	12,476,748	10,978,535	8,831,208	7,007,430
Changes in operating assets and liabilities:				
- cash reserve requirement	1,838,631	540,986	1,597,105	344,803
- Government securities	(8,755,990)	(17,117,326)	(13,031,827)	(11,392,439)
- loans and advances to customers	(17,080,314)	(6,786,109)	(11,564,364)	(2,232,482)
- customer deposits	17,528,316	(2,646,570)	8,755,560	(6,650,284)
- other assets	(226,788)	267,711	(42,403)	366,946
- other liabilities	764,170	(603,444)	101,728	(684,498)
Net cash generated from/ (used in) operating activities	6,544,773	(15,366,217)	(5,352,993)	(13,240,524)
Cash flows (used in)/ generated from investing activities				
Purchase of property and equipment	(1,420,013)	(770,316)	(229,879)	(395,243)
Purchase of intangible assets - software costs	(201,227)	(682,175)	(130,640)	(627,769)
Purchase of shares (Equity Investments)	-	(55,341)	-	(50,000)
Proceeds from sale of investment in Government securities	(20,754)	39,425	(20,754)	14,274
Proceeds from sale of property and equipment	12,272	7,189	6,313	3,977
Dividend received	-	-	569,500	65,806
Net cash (used in)/ generated from investing activities	(1,629,722)	(1,461,218)	194,540	(988,955)
Cash flows generated from/ (used in) financing activities				
Proceeds from borrowings	10,135,000	1,744,109	10,135,000	2,033,300
Repayment of borrowings	(1,925,069)	(5,133,493)	(1,417,781)	(2,761,797)
Payments for principal and interest portions of the lease liability	(766,366)	(819,392)	(367,886)	(340,915)
Finance costs	(770,594)	(958,750)	(644,248)	(716,333)
Dividends paid to equity holders of the bank	(754,926)	(726,966)	(754,926)	(726,966)
Dividends paid to non controlling interests	(38,136)	(38,294)	-	-
Net cash generated from/ (used in) financing activities	5,879,909	(5,932,786)	6,950,159	(2,512,711)
Net increase/ (decrease) in cash and cash equivalents	10,794,960	(22,760,221)	1,791,706	(16,742,190)
Cash and cash equivalents at start of year	(1,921,617)	21,375,217	(12,053,598)	4,688,592
Effect of exchange rate fluctuations	1,670,554	(536,613)	-	-
	(251,063)	20,838,604	(12,053,598)	4,688,592
Cash and cash equivalents at end of year	10,543,897	(1,921,617)	(10,261,892)	(12,053,598)